products that are capable of solving complex engineering and aesthetic requirements. Accordingly, your Company is investing in a state-of-the-art manufacturing facility in Sehore, Madhya Pradesh, to manufacture technologically sophisticated products with promising applications in pharmaceutical, cosmetics, electronics and other sectors.

The Business is an acknowledged icon of environmental stewardship, with focus on decarbonisation, sequestration and livelihood generation. The recent state-of-the-art High-Pressure Recovery Boiler commissioned at Bhadrachalam will reduce coal usage by one-third while improving ITC's share of renewable energy by 6%. Your Company's afforestation programme has greened over 1 million acres and supported over 190 million person-days of employment for marginal farmers whilst creating a sustainable and competitive fibre chain for your Company.

> "ITC's Paperboards & Packaging Business is an acknowledged icon of environmental stewardship, with focus on decarbonisation, sequestration and livelihood generation"

It is evident that a competitive wood-based industry can generate large economic multipliers, enable significant carbon sequestration and livelihood generation. Our country has 30 million hectares of degraded forest land capable of being converted into productive and green assets. An enabling policy framework that would permit enterprises to lease degraded forest land can enhance competitiveness, spawn new wood-based industries, enable import substitution to the tune of US$ 4 billion annually, create large carbon sinks and generate significant rural employment of nearly 1.3 billion person-days.

Your Company's manufacturing excellence, thrust on digital, sustainability and frugal innovation capacity will enable competitively superior performance whilst also creating significant environmental and social capital as it embraces the vast opportunities ahead.

HOTELS

Let me now turn to the Hotels Business. The Hospitality industry is poised for strong growth due to the confluence of favourable factors such as rising societal aspirations, the growing stature of India as an attractive investment destination, increasing connectivity, strong macros, policy interventions as well as digital explosion. It is estimated that the Tourism GDP in India can grow from US$ 143 billion to US$ 250 billion by 2030 with employment growing from 88 million to 137 million.

> "The Hotel Business' unique value proposition has been built on the strength of its iconic properties, signature cuisines, best-in-class service and ethos of Responsible Luxury."

ITC's Hotels Business recorded a strong performance for FY23 with the doubling of Segment Revenue. EBITDA margins expanded by 930 bps over FY20. The Business is well poised to capitalise on the significant growth opportunity, given its distinctive position in India's tourism landscape. The Business' unique value proposition has been built on the strength of its iconic properties, signature cuisines, best-in-class service and ethos of Responsible Luxury. It is the chain of choice for the discerning traveller and today spans over 120 hotels, with 11,600 keys in 70 locations.

The Hotels Business has also been a trailblazer in Responsible Luxury, a trend that the world is moving towards. The Business' LEED certifications are unmatched by any hotel chain in the world. Carbon emissions per room are already lower than the 2030 GHG sectoral emission targets. Single use plastics have been eliminated to the tune of 2,50,000 kgs every year.

Having established a strong market standing, as part of ITC Next, your Company pivoted to an asset right strategy. The Hotels Business has developed a bouquet of brands, including ITC Hotels, Mementos, Welcomhotel, Storii, Welcomheritage and Fortune, that address relevant customer need spaces and are receiving favourable response from asset owners. In the last 16 months alone, 18 hotels have been added, mostly through management contracts. Today, managed properties account for 55% of total rooms. ITC Narmada launched this year in Ahmedabad, is the first LEED Platinum hotel in Gujarat and has received excellent customer response.

As you are aware, the Board of Directors of your Company has accorded its in-principle approval to the proposed demerger of the Hotels Business, under a scheme of arrangement. The continued interest of ITC in the new entity will provide long term stability and instil a sense of assurance among partners, investors and employees, while enabling the new entity to leverage ITC's institutional strengths including the timeless goodwill, world-class brands and governance processes. For ITC, the reorganisation will sharpen capital allocation, improve asset efficiency ratios, unlock value for its shareholders as well as enable leveraging of institutional synergies.

Thus, the proposed reorganisation will enable the Business to architect the next horizon of growth as a pure play hotels entity with a strong balance sheet and healthy pipeline, especially when the industry is poised for robust growth.

ITC INFOTECH

Your Company's subsidiary ITC Infotech has made encouraging progress in recent years and is dialling up investments to be future-ready. The company continues to play a pivotal role in enabling clients to accelerate digital transformation, optimise costs and enhance operational efficiencies. As an endorsement of this focus, the company won a significant deal this year, creating a gateway for similar marquee client acquisitions in the future.

The sharpened focus on customer centricity, employee centricity and operational excellence together with deep new-age capabilities holds immense promise for the company to be a significant value creator.

ITC: A STELLAR SUSTAINABILITY JOURNEY

A few years ago, the UN Secretary General aptly termed climate change as a 'crisis multiplier'. The IPCC has warned that nearly 3.6 billion people today are dangerously vulnerable to climate impacts. Estimates suggest that climate induced events since 2000 have led to global losses of US$ 2.56 trillion in PPP terms. India experienced extreme weather events on 84 of the 120